

Debt to Net Worth Ratio

The debt to net worth ratio shows the extent funds are sourced from external sources and hence the extent a company is dependent on borrowings to finance its business. It is arrived at by dividing a company's debt by its net worth. Net worth is defined as shareholders' equity, less intangible assets:

$$\text{Debt to net worth} = \frac{\text{Debt}}{\text{Net worth}}$$

Illustration

Nikhila Ltd's debt on 31 March was Rs. 385 lakh. The shareholders' equity was Rs. 105 lakh. There were no intangible assets. The debt to net worth ratio was:

$$\frac{385}{105} = 3.67$$

In other words, borrowed funds were 3.67 times the shareholders' equity. For every Re. 1 invested by shareholders, borrowings were Rs. 3.67. This shows the company is highly geared.